

# Business Plan

DIDULA CHAMARA THANAWEERA ARACHCHI

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# What is a Business Plan?

A Business Plan is a written document that defines the goals of your business and describes how you will attain those goals

A Business Plan is worth your considerable investment of time, effort, and energy

A Business Plan sets objectives, defines budgets, engages partners, and anticipates problems before they occur

Business Plans are critical for the success of a company

Different businesses will require different types of Business Plans

Sections of Business Plans explain the core aspects of the company

# Who writes the business plan?



Researchers who have unique idea that can be commercialized.



Young ventures who do not have enough capital to implement their ideas and make a commercial product.



A small industry which wants to enhance the size



# The Business Plan: Two Essential Functions



Guiding the company by charting its future course and defining its strategy for following it.



Attracting lenders and investors who will provide needed capital.

# A Plan Must Pass Three Tests

## The Reality Test proving that :

- A market really does exist for your product or service
- You can build or provide it for the cost estimates in the plan

## The Competitive Test evaluates:

- A company's position relative to its competitors
- Management's ability to create a company that will gain an edge over its rivals

## The Value Test proving that:

- A venture offers investors or lenders an attractive rate of return or a high probability of repayment

# Reasons to Build a Business Plan?



Although building a plan does not guarantee success, it does increase your chances of succeeding in business



A plan is like a road map that serves as a guide on a journey through unfamiliar, harsh, and dangerous territory



Don't attempt a trip without a map!

# Key Elements of a Business Plan

- ▶ Packaging
- ▶ Executive Summary
- ▶ Vision/Mission Statements
- ▶ Company History
- ▶ Business and Industry Profile
- ▶ Business Model
- ▶ Business Strategy
- ▶ Description of Products/Services





# Key Elements of a Business Plan

- ▶ Marketing Strategy
  - ▶ Document market claims
  - ▶ Show customer interest
- ▶ Competitor Analysis
- ▶ Description of Management Team
- ▶ Plan of Operation
- ▶ Projected Financial Statements
- ▶ Loan or Investment Proposal



# Guidelines for a Business Plan

Remember: No one can create your plan for you.

Potential lenders want to see financial projections, but they are more interested in the strategies for reaching those projections.

Show how you plan to set your business apart from competitors; don't fall into the "me too" trap.

Identify your target market and offer evidence that customers for your product or service exist.

# Guidelines for a Business Plan



Your plan must prove that the business will make money (not necessarily immediately, but eventually).



Use spreadsheets to generate financial forecasts.



Always include cash flow projections.



Keep your plan “crisp” –between 25 and 40 pages long.



Tell the truth –always.

# Summary



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|                       |                               |
|-----------------------|-------------------------------|
| Herbal hub            | Startups                      |
| Shadow Pack           | Business Incubators           |
| Team Sonic            | Networking                    |
| Fantasticans          | Break Even Analysis           |
| Team Chaos            | Market Analysis               |
| Goal Diggers          | Lean Management               |
| nutriti.io            | Profit and Loss Account       |
| Four-Sure             | Vision Statement              |
| Secret Agents         | Croedsourcing                 |
| Team Sharks           | Sales Funnel                  |
| Visionaries           | Design Thinking               |
| Real Heros            | Search Engine Optimization    |
| Bizgap                | Shark Tanks                   |
| Team Blooming         | Cash Flow Statement           |
|                       |                               |
| Rapid Tech Developers | Directors & Shareholders      |
| Fantastic Four        | Angel Networks                |
| The Alphas            | Competitor Analysis           |
|                       |                               |
| The Revolution        | USP and Competitive Advantage |
| Zecode_team           | Balance Sheet                 |
| Deep Wave             | Digital Marketing             |
| crazy friends         |                               |
| Great Mates           | Mission Statement             |